To: PPS Board of Education
From: Director Patte Sullivan, Audit Committee Chair

Audit Committee Report for Thursday May 7th

Our first item on the agenda was a discussion of the annual bond performance audit. Our contracted audit team from Sjoberg Evashenk Consulting (SEC) was able to join the meeting to give us the current status on the Year 7 bond performance audit that is currently underway. The auditors reported they anticipate the completed Year 7 report will likely be ready to present in late June or early July this year. As of now, the Audit Committee does not have any meeting scheduled over the summer. The Office of Internal Auditor has been communicating with SEC about the potential need for a July meeting since October 2025. Hopefully, there will be movement on this soon. Be on the lookout in the next months about scheduling a future meeting.

We discussed the outstanding bond performance audit recommendations. In the October 2025 Audit Committee meeting, the Committee discussed referring the outstanding bond audit recommendations to some of the other committees for follow up. The idea was to reduce the number of committees that the OSM (now RISE) team need to report to. The discussion was to check in on the progress that has taken place since then, and to consider whether referring outstanding bond audit recommendations to a different committee for follow up is something that is working effectively or not. The Audit Committee decided that we want to get the results of the Year 7 bond performance audit before determining whether to refer the recommendations to another committee for follow up, or to follow up in the Audit Committee. With that in mind, we decided to discuss it again in our first meeting in the 2026-2027 school year before deciding on next steps. Director LaForte attended the meeting and discussed the progress she has made following up on the outstanding bond audit recommendations that were referred to the Facilities Improvement and Oversight Committee that she chairs. Director LaForte, thank you very much for coming up with a process for following up on those recommendations in your committee, and for attending the Audit Committee to talk about how that has been going for you.

We discussed the RFP process for the bond auditor's contract. Audit Committee members served on the selection panel for the financial statement auditor's contract, and we plan to participate on the selection panel for the bond auditor's contract. We anticipate the RFP process will take place over the summer, and I will provide the Board with additional information on this process as it gets closer.

Next on the agenda we discussed the status of the implementation of the Student Body Funds audit recommendations. We were happy to hear about the progress that has been made on those recommendations. Our internal auditor stated that she would

review the evidence provided related to the outstanding recommendations to confirm the implementation in the next week or so.

The Audit Committee also had an opportunity to reflect on the committee's work so far over the course of the 2025-2026 school year and provide our internal auditor with input on things that have worked well this year and things that could be better in the future. For the most part, the committee seemed quite pleased with our progress. We really liked scheduling a hold for monthly meetings and canceling them when we do not have enough content to warrant a meeting that month. We hope to continue that practice next year.

Our internal auditor also had a chance to share with the committee some proposed updates to the District's Performance Auditing Policy that will help support the work of the Office of Internal Performance Audit. It was the plan to review and approve the proposed policy updates in the Audit Committee and refer the proposed policy update to the Policy Committee for further review and eventual referral to the full Board for approval. When Janise and I built out the Audit Committee's meeting agendas for this year, we did not know that the Board was planning to have a retreat 2 days before the Audit Committee meeting. We did not know that at the retreat the Board would have an opportunity to talk about a process for updating all of the 1,000 series policies, and that the District's Performance Audit Policy is within that 1,000 series of policies. Our internal auditor was quite excited about how well timed the Board's retreat was because it lays a great foundation for updating the 1,000 series of policies which includes the District's audit policy. As a result, our internal auditor gave us a brief overview of what she has been working on. She suggested that she do a presentation in the next Audit Committee meeting that will tie the proposed updates in the policy to the values the Board discussed in the Board Retreat. We hope to refer that policy out of the Audit Committee to the policy committee for further review and eventual referral to the full Board for approval.

The Audit Committee welcomes two community members as ex-officio members on the Audit Committee. Both of our community members' current terms expire at the end of next month, June 30, 2026. I reached out to the community members over the last few months to ask if they would like to stay on the Audit Committee for another term. I am happy to report that both community members welcome reappointment to the Audit Committee. As a result, the Audit Committee has referred those two community members to the full Board for reappointment. We discussed potentially staggering their terms. I will be working with the Board office to get those two community members on a future Board agenda for us to reappoint before the end of June.

We also noted that our Student Rep to the Audit Committee is a junior this year and is hoping to be reappointed to the Audit Committee next year. The Student Rep to the full Board is typically responsible for assigning students to different committees each year, so it cannot be official until next year. The Audit Committee would be happy to welcome

our current student rep back next year if possible. Our current policy states the committee will welcome up to two students to join the Audit Committee as ex-officio members of the committee; so, if there is another student who is really interested in serving on the audit Committee next year, we would be open to the student rep referring the Audit Committee two students next year.

Lastly our internal auditor provided the Audit Committee with a status update on the Office of Internal Performance Audit's activities.

Approved Audits

Measure 98 Audit – Anticipating that we will present this report in the June 2026 Audit Committee Meeting.

Building Security Audit – Currently in the planning phase with the anticipation of presentation to the Audit Committee in the Fall of 2016.

CTE Audit – Scope is being updated to reflect current activities and risks. Anticipate updated scope for review in the Fall of 2026 with audit presented to the Audit Committee in the 2026-27 Winter.

We anticipate these already approved audits will roll over into the 2026-27 school year.

Future Audit Topics

In the October, 2025 Audit Committee Meeting, we discussed a list of future audit topic ideas and narrowed the list to three:

Teacher Absences and Sub Protocols

Student Performance Measures

Support System for Principals

Information is being gathered around these three audit topics and a proposed scope of work related to each topic will be brought to the Audit Committee for consideration in the Fall/Winter of 2026. Two will be chosen and brought to the full Board for approval.

We need to cancel and reschedule the Audit Committee's June 18th meeting. I will be reaching out to find a date that will work for us all.